Shiv Lal vs State Govt. Of Nct Of Delhi on 24 July, 2025

Author: Sanjeev Narula

Bench: Sanjeev Narula

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* IN THE HIGH COURT OF DELHI AT NEW DELHI
+ BAIL APPLN. 809/2025
SHIV LAL
Through: Mr
Ad
versus

STATE GOVT. OF NCT OF DELHI .....Respo
Through: Mr. Ajay Vikram Singh, APP.
ASI Vinay Tyagi, ER-1 Crime
Branch, Delhi.
CORAM:
HON'BLE MR. JUSTICE SANJEEV NARULA
ORDER

% 24.07.2025

1. The present application under Section 483 of the Bharatiya Nagarik Suraksha Sanhita, 20231 (erstwhile Section 439 of the Code of Criminal Procedure, 19732) seeks regular bail in proceedings arising from FIR No. 226/2023 registered under Sections 489B, 489C and 34 of the Indian Penal Code, 18603 at P.S. Crime Branch. Subsequently, a chargesheet has been filed in the case qua the Applicant under Sections 489A, 489B, 489C, 489D, 120B and 34 of IPC.

2. Briefly, the case of the prosecution against the Applicant is as follows:

> 2.1. On 22nd September, 2023, secret information was received by ASI Ajay Kumar at the office of ER-1, Crime Branch, that a person named "BNSS"
>
> "CrPC"

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 Shakoor Mohammad would be visiting near Akshardham Metro Station, along with his accomplice, Lokesh Yadav, for delivery of high-quality counterfeit Indian currency. On the basis of this information, a police team was formed and a police constable, posing as a decoy customer, was sent to the location with 5,000/- to strike a deal with them for supply of counterfeit currency. When the accused persons arrived at the spot to handover 10,000/- in counterfeit notes, they were

immediately apprehended and identified. Upon search, Fake Indian Currency Notes4 amounting to 5 Lakhs was recovered from Shakoor, whereas FICN amounting to 1 Lakh was recovered from Lokesh Yadev. Accordingly, the subject FIR was registered, and investigation was taken up. Both Shakoor and Lokesh were arrested on 23rd September, 2023.

2.2 During interrogation, both the accused disclosed that one Himanshu Jain gave them the total recovered 6 Lakhs with the instruction to exchange the same in Delhi. Subsequently, on 23rd September, 2023, accused Himanshu Jain was arrested near Jaipur Road, Ajmer Rajasthan and a Maruti Swift car was seized from his possession, along with FICN of 1 Lakh.

2.3 During his interrogation, accused Himanshu Jain disclosed that FICN of 7 Lakhs was actually given to him by Shakoor, after procuring it from Shivlal, i.e., the Applicant herein. Thereafter, Himanshu gave 6 Lakhs to co-accused Shakoor and Lokesh for exchanging it in Delhi and kept the remaining 1 Lakh with himself.

2.4 On the basis of the disclosure statements of co-accused Himanshu "IPC"

"FICN"

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 Jain and Shakoor Mohammed, as well as the technical surveillance of their mobile numbers, the Applicant and another co-accused Sanjay were arrested in from the Jaipur Road, Ajmer, Rajasthan, while they were travelling in a Hundai Creta Car. FICN of 1 Lakh was recovered from the Applicant, whereas FICN of 50,000/- were recovered from the co-accused Sanjay. 2.5 All arrested accused persons were then subjected to sustained interrogation, wherein they were confronted with one another's accounts. Investigation revealed that the accused persons had set up a covert set-up for printing and manufacturing of FICN in Ajmer, Rajasthan. Specifically, the Applicant disclosed that he had learnt how to manufacture FICN from one Radhey, who however, could not be apprehended. It was further discovered that while the Applicant, Shakoor and Sanjay were tasked with printing and cutting the counterfeit, Himanshu and Lokesh were tasked with exchanging the FICN with genuine currency. It was also found that Shakoor used to give a fine touch to the fake currency with the help of chemicals and ink. The Call Details Records5 of all of the accused persons, including the Applicant, revealed that they were in constant contact with one another, thus establishing connivance.

2.6 Pertinently, on 27th September, 2023, at the instance of the Applicant Shivlal and co-accused Shakoor, a raid was conducted at H. No. 1047, Ganesh Wadi, Panchsheel Nagar, Ajmer, where huge quantities of FICN and other incriminating materials were recovered and seized from the spot. Particularly, FICN amounting to 1,28,500 in the denomination of 500 notes, one sided uncut printed FICN sheets (808 in number) of 500 denomination amounting to 4,04,000/-, two sided printed uncut sheets (205 This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 in number) of 500 denomination amounting to 4,10,000/-, Water mark paper (111), laptop, colour printers, two pendrives, ink and chemicals, green thread roll, FICN waste paper cuttings were recovered. Further, some documents including a bill of purchase for a lamination machine, ink and other material, issued in the name of the Applicant were also recovered from the spot.

2.7 On the same day, FICN amounting to 1,29,500/-, one CPU, coloured printer and other incremental material were recovered and seized at the instance of the co-accused Shakoor from his rented house located at H. No. 24, Swatantar Janana Road, Ajmer, Rajasthan.

2.8 The owner of the house which was raided at the instance of the Applicant, upon questioning, stated that he had given the house on rent to the Applicant and his brother, co-accused Sanjay however, there is no rent agreement to this effect as the brothers did not sign one. 2.9 All of the recovered FICN was sent to the Bank Note Press, Dewas, M.P. for expert opinion, which confirmed that the recovered currency notes were counterfeit. The seized digital and other materials were also sent to the FSL, Rohini, which results are awaited.

2.10 During the course of investigation, it was discovered that the Applicant, Shakoor, Sanjay and others were also arrested in relation to another FIR bearing no. 745/2023 registered under Sections 489B, 489C, 120B and 34 of IPC at P.S. Beawar City, Beawar, Rajasthan wherein they used the same modus operandi to circulate FICN. Particularly, it was also found that the Applicant herein has been accused in 2 more FIRs, which are related to the Rajasthan Paper leak case and since he was found to be "CDRs"

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The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 absconding, non-bailable warrants have been issued against him in those cases.

2.11 After completion of the investigation in the present case, the chargesheet was submitted before the Trial Court on 19 th December, 2023 and the trial proceedings have commenced. The specific role attributed to the Applicant in the chargesheet is that at the time of his arrest, FICN of 1 Lakh was recovered from him and at his instance and pointing out, huge recovery of incriminating FICN and other equipment used for printing the said FICN was recovered from the flat in Ajmer, which as per the owner of the flat, was rented out to the Applicant and his brother Sanjay. 2.12 The Applicant is an active member of the syndicate, indulging in the printing, cutting, making and distributing of counterfeit currency in Rajasthan and Delhi. His role was to look for customers for exchanging the fake currency, manage logistics as well as the printing equipment.

3. Counsel for Applicant seeks the regular bail on the following grounds:

3.1 The Applicant has been falsely implicated in the present case and he has not committed any offence as alleged in the FIR. In fact, he has not even been named in the FIR and the personal search memo of the Applicant shows that only a recovery of the cash amount of 1220/- was made from him. There is also no mention of the alleged recovered FICN in the said personal search memo. Thus, it is evident that he has been falsely implicated in the present case.

3.2 The recoveries made from the Applicant was manipulated and planted by the police. There are no independent witnesses who were enjoined in the recovery process, either when the Applicant was apprehended in the first instance or when allegedly on his instance, recoveries were made from his This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 alleged tenanted flat. The lack of independent witnesses severely undermines the case of the prosecution.

3.3 As per the statement of the landlord of the flat from which recoveries were made, there is no record or documentary evidence which proves that the Applicant is the one who tenanted the said premises or paid any rent to the landlord. The Applicant was made to sign blank papers during the course of investigation, and these have been used to falsely implicate him in a fabricated case.

3.4 The Applicant is entitled bail on the ground of parity with co-accused Sanjay, who was granted bail by this Court vide order dated 9th January, 2025 passed in Bail Appln. no. 3502/2024.

3.5 The Applicant has been in custody since 30th September, 2023 and has spent almost 2 years in custody as an undertrial. The Applicant had moved a bail application before the Trial Court, but the same was dismissed without consideration of the true facts of the case. Moreover, investigation is complete and the chargesheet has already been filed. Thus, the continued incarceration of the Applicant will serve no useful purpose and will amount to punitive detention.

4. On the other hand, Mr. Ajay Vikram Singh, APP for the State, strongly opposes the present application on the following grounds:

4.1 The Applicant has been implicated in a serious offence involving printing and circulating large amounts of fake currency notes which severely impacts the financial health and economic growth of the country. 4.2 The case of the Applicant is materially different from that of the co-

accused Sanjay, who has been granted bail by this Court. Even though the two of them were apprehended together, the Applicant is the one on whose This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 instance and pointing out, large amounts of FICN, equipment as well as other substantial and credible incriminating material such as water mark paper, laptop, printer, chemicals, lamination machine etc. was recovered from a flat in Ajmer. In fact, the bill of purchase of such material in the name of the Applicant - Shivlal, have also been recovered from the flat. 4.3 The role of the Applicant is not marginal but rather points to him being a key member of the syndicate, who had knowledge of the FICN manufacturing process and was actively involved in printing, cutting and distributing the same.

4.4 The Applicant was arrested on the basis of the disclosure statement of the co-accused Himanshu and Shakoor and the technical surveillance of their mobile numbers. In fact, Himanshu also disclosed that initially, FICN of 7 Lakhs had been given to Shakoor by the Applicant for the purpose of distribution and circulation.

4.5 The CDR analysis of the mobile phones recovered from him reveal that he was in constant communication with the other co-accused since a long time, which clearly points to his active involvement in the case. Furthermore, in his disclosure statement, the Applicant stated that he is the one who learnt how to manufacture FICN from his friend Radhey, who has not been traced yet. Moreover, he himself disclosed that while his brother used to only cut the uncut printed FICN sheets, he used to print, cut and make them.

4.6 Pertinently, the Applicant was also involved in a similar FIR in Rajasthan wherein it was discovered that, using a similar modus operandi, the Applicant and other co-accused were supplying FICN. Apart from this, he has also been involved in other cases of fraud involving leaking of a This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 government public examination paper, and in this regard, 2 FIRs bearing no. 13/2022 and 62/2023 were registered against him for the offences under the Rajasthan Public Examination Act and one FIR bearing no. 269/2023 was registered against him for the offence under Section 420 of the IPC by the Rajasthan police. Therefore, the Applicant is a habitual offender and there is every possibility that in case he is granted bail, he may indulge in similar organised crimes.

4.7 Additionally, during investigation, the Applicant did not cooperate with the investigating officers and rather tried to mislead and misguide them on one ground or another. Thus, there is a strong apprehension that he may tamper with evidence, intimidate witnesses or otherwise jeopardize the trial proceedings.

5. The Court has considered the contentions urged by the parties. At the outset it is noted that even though the Applicant has invoked the ground of parity with the co-accused Sanjay, who was granted bail by this Court, this Court has also declined the bail application to one of the other co-accused Shakoor Mohammed vide order dated 20th May, 2025 in Bail Appln. No. 2530/2024. This was

because the investigation revealed that the role of Shakoor was materially distinct from Sanjay.

6. While Sanjay's alleged involvement was primarily confined to merely cutting the printed FICN, Shakoor was involved in not just printing and cutting but also of putting the final chemical embellishments on the FICN to make them appear genuine. Furthermore, at the instance of Shakoor, further incriminating material was recovered from another flat in Ajmer which was rented in his name. Thus, this Court cannot grant bail to Applicant merely on the grounds of parity with the co-accused. Rather, it is necessary to assess This is a digitally signed order.

The authenticity of the order can be re-verified from Delhi High Court Order Portal by scanning the QR code shown above. The Order is downloaded from the DHC Server on 28/07/2025 at 22:28:00 the specific role of the Applicant, as has been uncovered during investigation, and compare the same with the roles of the other co-accused.

7. The Applicant in the present case, i.e., Shivlal, is the one on who's instance and disclosure the police went to a flat in Ganesh Wadi, Ajmer and made large amounts of recoveries which directly implicate the Applicant. These include of large amounts of cut and uncut FICN, water mark papers, colour printers, green security thread roll, ink and chemicals, lamination machine and other equipment used in the printing process. Notably, the investigating authorities recovered a sale invoice of some of the material, bearing the Applicant's name as the purchaser. This strongly indicates that the Applicant was involved in procuring materials for the manufacture of counterfeit currency. Thus, the role attributed to Shivlal is markedly different from Sanjay's and, in fact, more comparable to that of Shakoor.

8. Apart from the physical recoveries, CDR analysis of the mobile phones recovered from the Applicant places him in regular contact with the other members of the crime syndicate. The forensic analysis of the FICN which were recovered from the flat, at the instance of the Applicant, conducted by the Bank Note Press, Dewas, has also affirmed that the recovered currency notes are indeed counterfeit.

9. The Court further notes that this large-scale counterfeit currency racket came to light following the arrest of co-accused Shakoor and Lokesh in Delhi, who were apprehended with substantial amounts of FICN. In his disclosure statement, co-accused Himanshu stated that the counterfeit notes found in Shakoor's possession were originally supplied by the Applicant. This establishes the Applicant's central role in the syndicate, including his involvement in the distribution of counterfeit currency.

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10. In view of the substantial recoveries and evidence obtained during the investigation, the Applicant's plea of false implication lacks merit. The chargesheet clearly indicates that the recoveries

were made pursuant to his disclosure statement. Accordingly, the Applicant's involvement in the operation is materially distinct from that of Sanjay and suggests a deeper, more active role in the alleged offence.

11. The offences alleged in the present case are grave and carry a maximum punishment of life imprisonment under Sections 489A to 489D of the IPC. The Court is mindful of the fact that such economic offences, involving printing and circulating counterfeit currency at such a large scale, has major implications in terms of national economic security. As held by the Supreme Court in the case of Y.S. Jagan Mohan Reddy v. C.B.I.6, economic offences of such nature must be treated with severity, given their potential to erode public trust in institutions. Moreover, cases such as the present one, where the evidence points to there being a well-structured organised crime syndicate involved in such activities, have far-reaching implications on public confidence7. Moreover, the Applicant has prior criminal antecedents, including one case involving circulation of FICN using similar methods, and three other FIRs relating to fraud and leaking of a government examination paper. These records point toward a repeated pattern of unlawful conduct.

12. Thus, considering the substantial evidence collected at the instance of the Applicant, which establishes his active involvement in the alleged offence, the Court is not inclined to grant the relief sought in the present (2013) 7 SCC 439 State of Gujarat v. Mohanlal Jitamalji Porwal, (1987) 2 SCC 364 This is a digitally signed order.

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13. Accordingly, the present application is dismissed.

SANJEEV NARULA, J JULY 24, 2025 as This is a digitally signed order.

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